BI and Fed policy:

Two-nil for the market

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Executive Summary

- BI cut policy rate by 25 bps and the Fed by 50 bps, both faster than expectations.
- While the rapid cuts may be construed as sign of panic about growth outlook, both economies (US and Indonesia) are not facing urgent threats of recession as yet.
- The mixed conditions (contraction in tradable sectors, decent growth in non-tradables) indicate that the current global slowdown may be greatly influenced by China's economic imbalance.
- The very fact that rate cuts are unlikely to remedy to situation may, paradoxically, push central banks to cut more rapidly in the short-term.
- BI has less room to ease compared to the Fed, and the one big lever it still has – the unwinding of SRBI – would have to be wielded gradually due to potential effects on Rupiah.

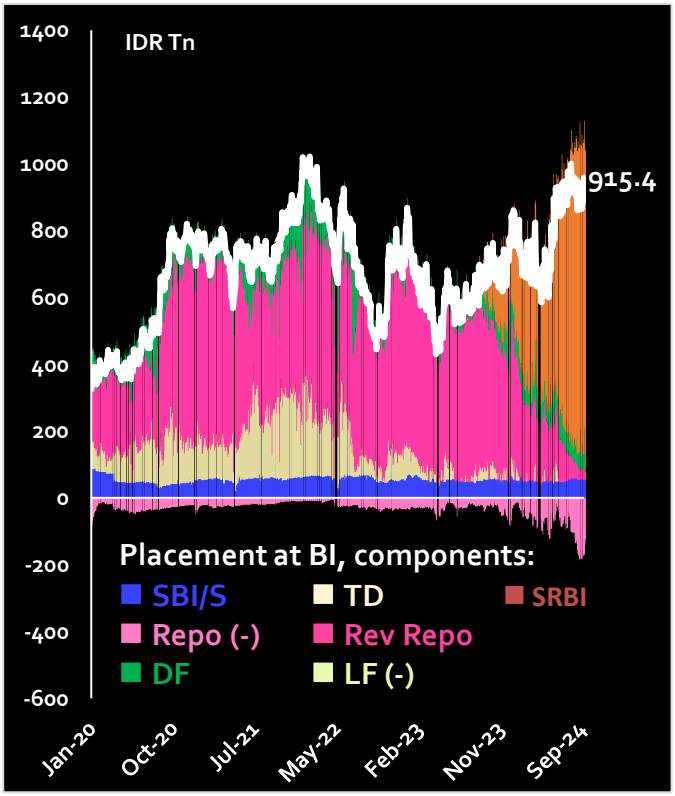
- Markets rejoice! A series of subpar macro data and sustained campaigning for the past three months (and particularly the past week in Indonesia's case) has borne fruit, with the Fed announcing 50 bps rate cut in the latest FOMC and BI a 25 bps cut hours earlier. These moves align with the dovish shift among global central banks, with the ECB also easing policy last week, and China's PBoC potentially following suit later this week.
- While the direction of travel was well-telegraphed, its pace turned out to be much faster than anticipated, including by us – recall that we expected 25 bps FFR cut in Sep and BI rate cut cycle to begin in Q4. This was mixed blessings for the market, as we can observe from the outcomes in the equity and commodity markets.
- Could this be because the market smells panic among central banks on growth prospects? This is certainly a plausible interpretation, albeit one that the Fed itself – in its projection materials – does not seem to hold. There are modest revisions for growth, unemployment, and inflation, but these are still safely in the "soft landing" zone and nowhere near recession territory.
- Meanwhile, BI (as ever) puts out an ambiguously sunny statement, but now with an explicit acknowledgement that growth "needs to be pushed higher". This, however, could mean two different things; either a tacit admission that growth momentum is slowing, or (more likely) a signal to the incoming Prabowo administration that BI is ready to cooperate to achieve its bold growth target.
- Indeed, in both the US and Indonesia, there are good cases to be made that the economy is still running somewhat hot. In the former's case, the GDPNow for Q3 stands at 2.9% as of this writing, with demand (including the latest retail sales data) still growing at a healthy clip.

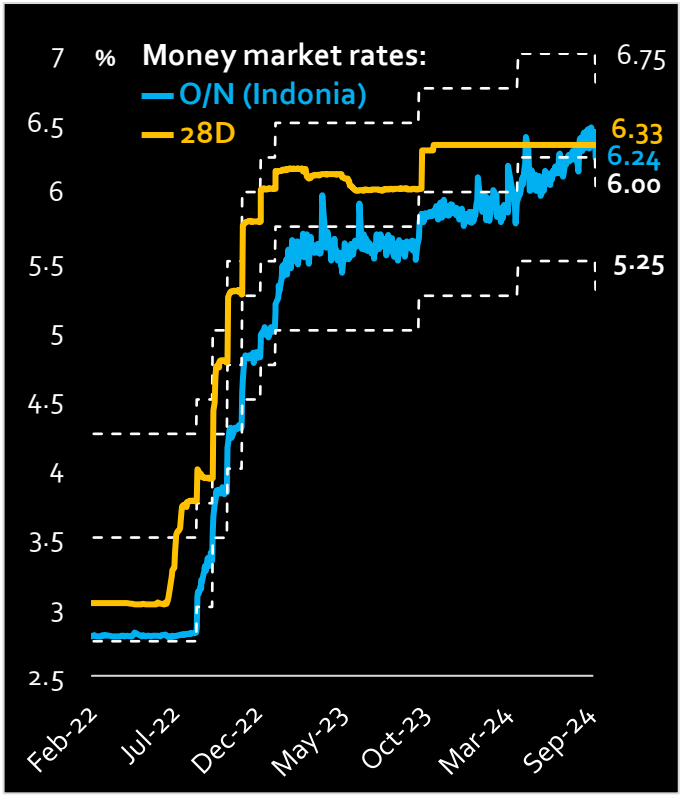
Likewise, domestically-oriented industries (construction, services) still enjoy solid revenue growth and recruit new workers, albeit at slower pace. For these industries, "slowing but growing" is a better descriptor than "sky is falling".

- As for Indonesia, the hottest indicator may be loan growth (latest at 11.4% YoY in August), which continues to run far ahead of deposit growth. And just like the US, Indonesian fiscal policy is in a place that can be labeled "ambiguously expansive", with net cash injections into the economy (by about IDR 200 Tn per July) despite an apparent narrowing of the budget deficit.
- But if both economies are seemingly healthy, whence the urgency to cut? We argue that the slowing part in the global economy are mostly rooted in (1) massive imbalance in China, and (2) high post-pandemic debt burden and refinancing needs. Rate cuts would clearly address the latter, but the former is something that is an exceedingly tough nut to crack, even by the Chinese authorities themselves.
- The massive gap between China's productive capacity (dominant on almost all fronts) and weakening demand (after a decent recovery last year) translates to a decline in manufacturing profit margins and deflationary pressures all over the world. Indeed, the decline in US NFP can be attributed almost entirely to manufacturing and mining (with a smattering of tech).
- China's imbalance also affects Indonesia negatively, through weaker commodity exports and job losses in labor-intensive manufacturing sectors. Given that factory work is probably the most abundant, well-paying formal jobs for Indonesia's army of less-educated workers (non-college graduates), these job losses has had devastating impact on purchasing power.
- As such, ex-China economies like the US and Indonesia are essentially running two-speed economies, complicating the calculus behind interest rate policy. The proactive rate cuts by the Fed and BI are perfectly justifiable, textbook decisions, but not something that we think would make noticeable impact on the economy in the short-run. Oddly, that may make further rate cuts *more* likely as central banks push the button to no avail, whereas the only remedy is something beyond their control (improvement in China's consumer demand).
- The implications for asset prices are fascinating, since while bonds and commodities have been trading as if recession is coming, equities and EM assets have been riding high. Rate cuts could further spur risk asset valuations, which could eventually force the Fed to ease on the gas pedal for fear of a bubble. This scenario – a rerun of the pre-dotcom bubble easing cycle of 1998-99 – is perhaps the most compatible with a soft landing.
- The other possibilities, however, are less rosy. The fact that the gold/oil ratio now stands at the 99th percentile since 1971 may be interpreted as sign of profound pessimism in global outlook, and a harbinger of a hard landing. But it is also possible that the gold signal is the correct one, and oil has some catching up to do. In this case, we may instead get a "financial repression" scenario, where inflation comes roaring back and runs hotter than the now-lower interest rates.
- It is possible that the outcome would rest on US politics rather than monetary policy. While a victory for Kamala Harris should signal the continuation of the status quo, a Trump return would shake things up in an uncertain direction, depending on whether it is his tariffs or his fiscal policy that would prove more effective. The former could tip things in a hard landing direction, while the latter may force the Fed into prolonged negative real-rate policy to finance the much larger deficit.

- At this juncture, we could argue that BI's easing is more appropriate than the Fed's, given the weaker state of Indonesian domestic demand (relative to normal) and the simple fact that China looms larger for Indonesia than for the US – which can also partially hide behind a wall of tariffs. It is equally true, however, that BI has less room to ease, given its less-steep hikes during the Fed's hiking cycle (275 bps vs. 525 bps total) and the already-strong loan growth as mentioned earlier.
- It is also striking that BI's first cut is not accompanied by other policies to support growth. This could be because BI has used up all its macroprudential arsenal – from higher LTV ratios, incentives/directives to lend to SMEs and other favored sectors, to requirement for banks to publish their prime loan rates (SBDK) in a bid to keep lending rates low. And given that the effective reserve requirement ratio (GWM) is now closer to 5-6% due to incentives, the room to ease here is also limited.
- There is one lever that BI is still able to pull, namely SRBI which locked up IDR 534.8 Tn worth of bank liquidity (per August). Unwinding SRBI – by issuing less than the IDR 247 Tn set to mature before year-end – could free up some of these funds to finance more loans or to purchase government bonds, but with some undesirable side effect on the Rupiah. By our calculations, foreign purchase of SRBI has helped strengthen the Rupiah by about 500-600 points versus the USD. While a weakening USD gives BI more breathing room for the SRBI unwind, we still expect BI to proceed slowly here, given its well-known "fear of floating".
- Overall, then, we might expect faster rate cuts (both BI and Fed) in the upcoming months, but with less far certainty in 2025. At the same time, we do not see radically different outlook for growth, USD/IDR, and long-term rates – especially with the Fed actually *raising* its long-term policy stance (from 2.8% to 2.9%) and both the US and Indonesian government set to issue more debt next year.

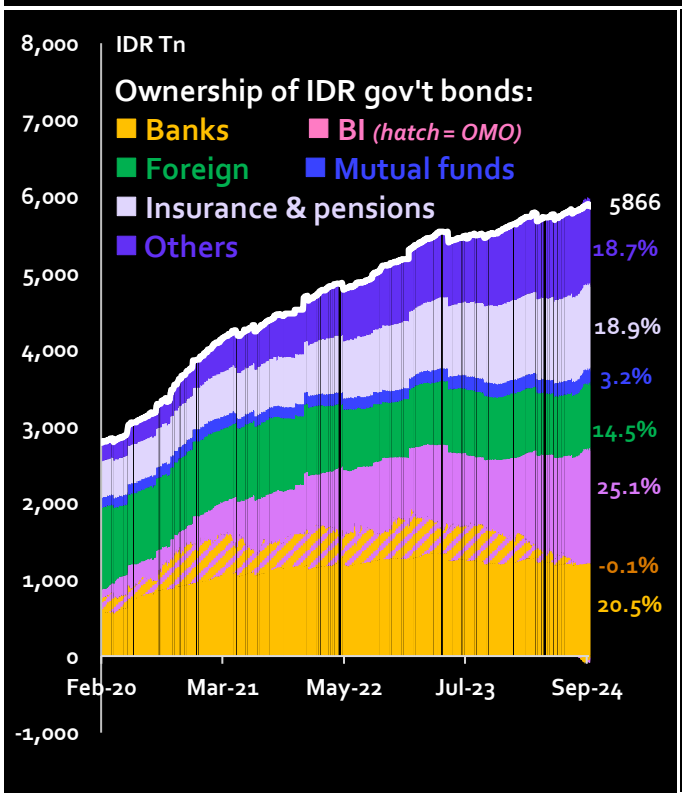
Panel 1. Domestic banks are stashing their cash almost exclusively in SRBI

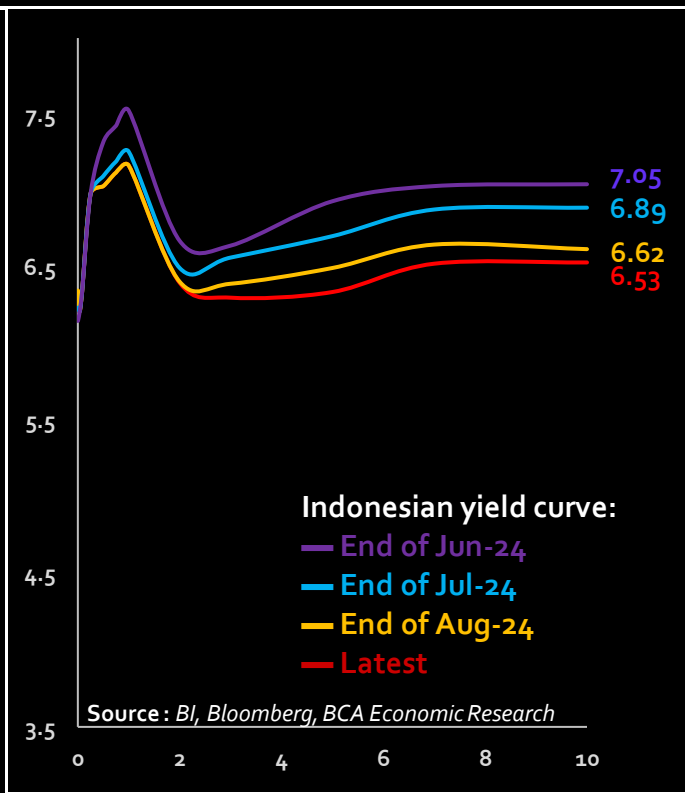




Source: BI, Bloomberg, BCA Economist

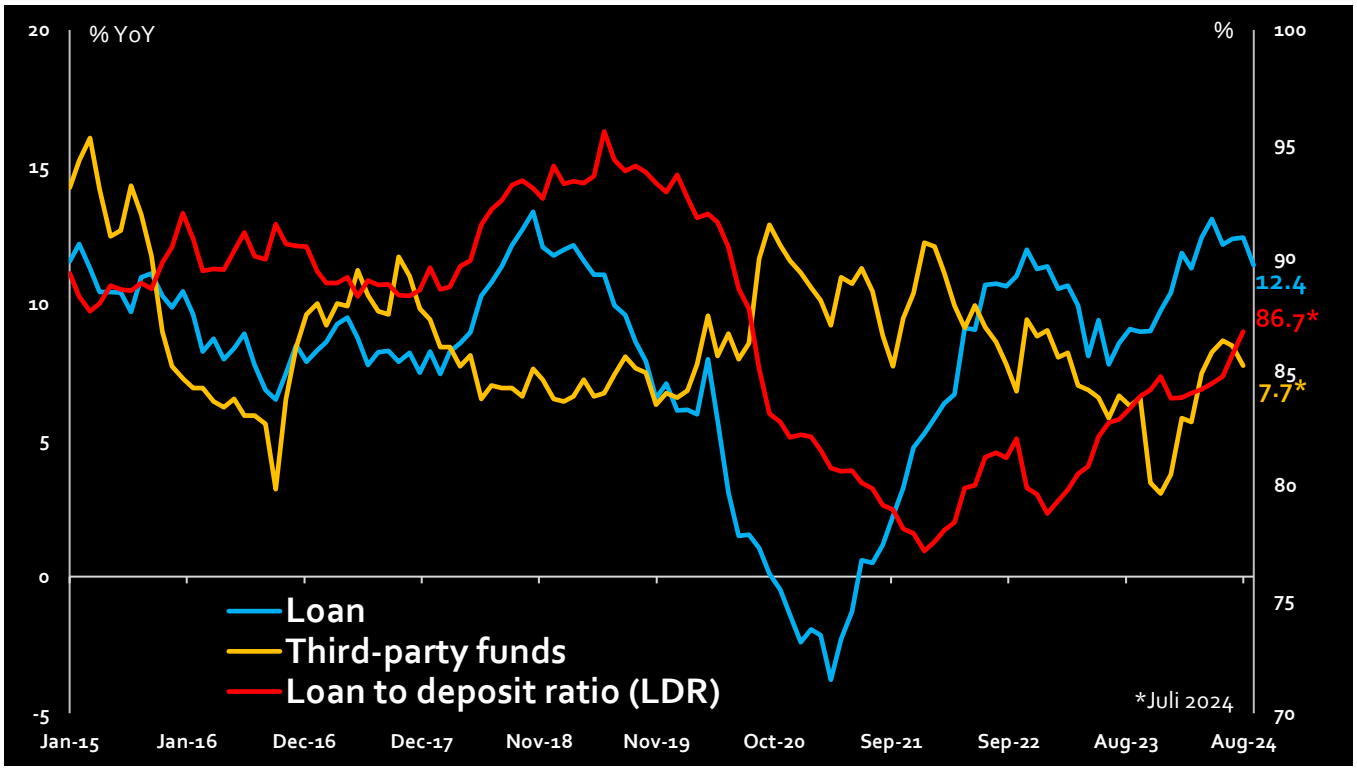
Panel 2. The benchmark SBN yield is starting to decline, due to calmer global financing conditions





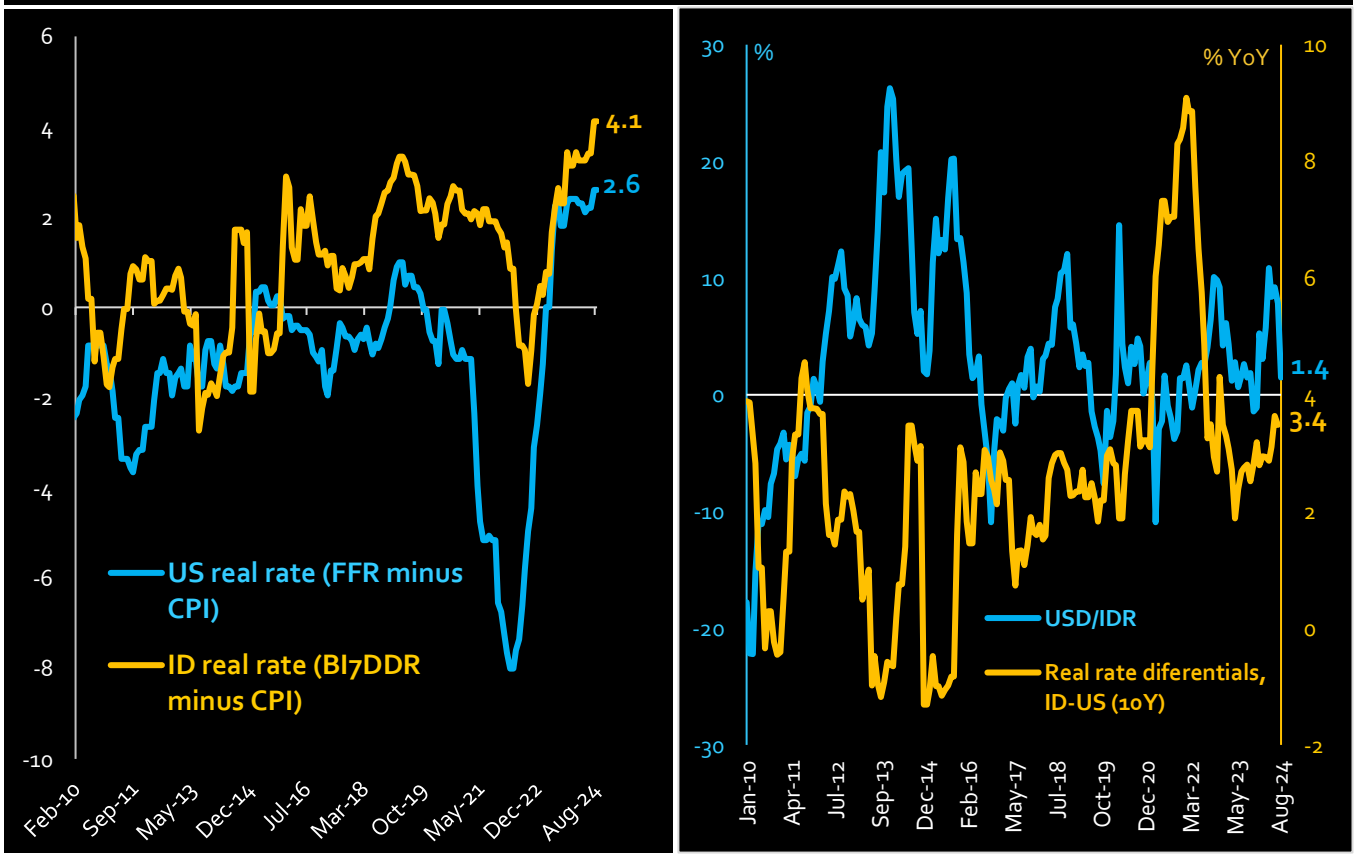
Source: MoF, BI, Bloomberg, BCA Economist

Panel 3. Private sector expansion is still going strong, evident from the persisting loan growth in Jul-24



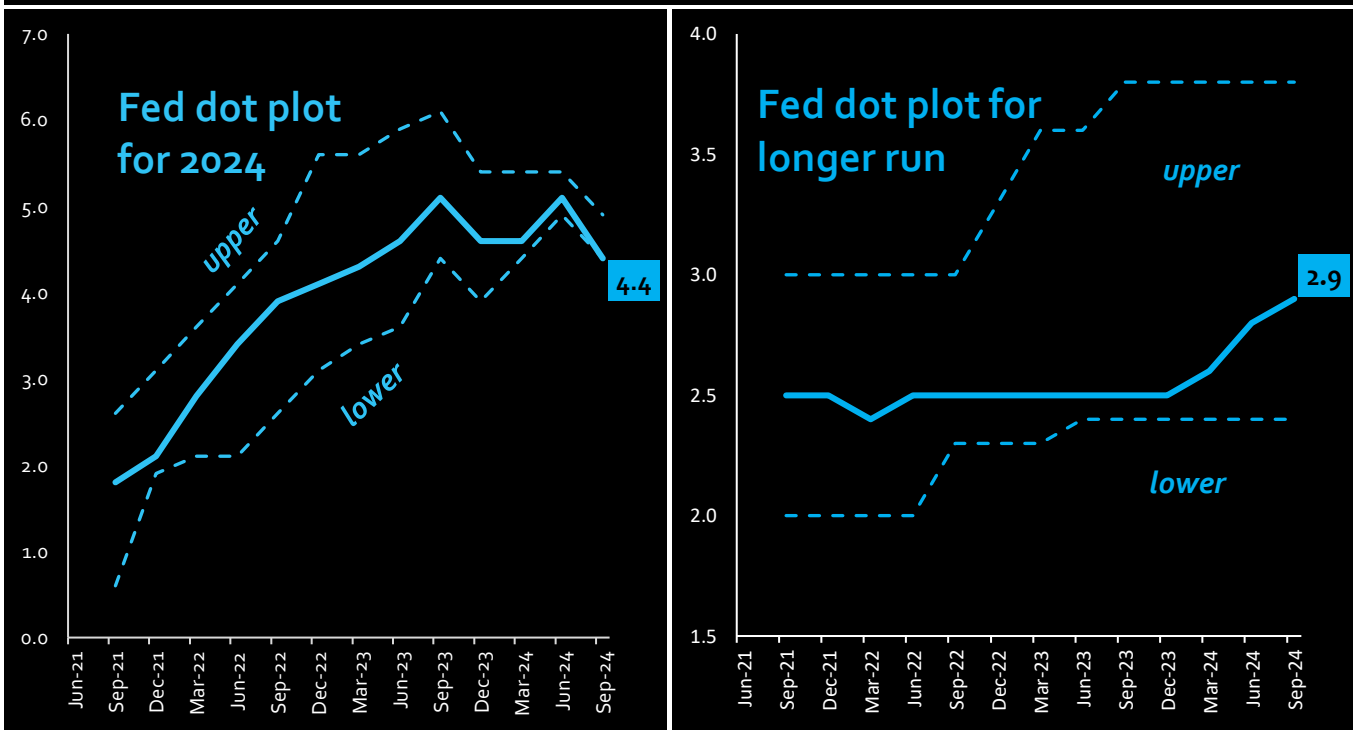
Source: MoF, Bloomberg, BCA Economist

Panel 4. The IDR posted a decent recovery, but remains fundamentally weak



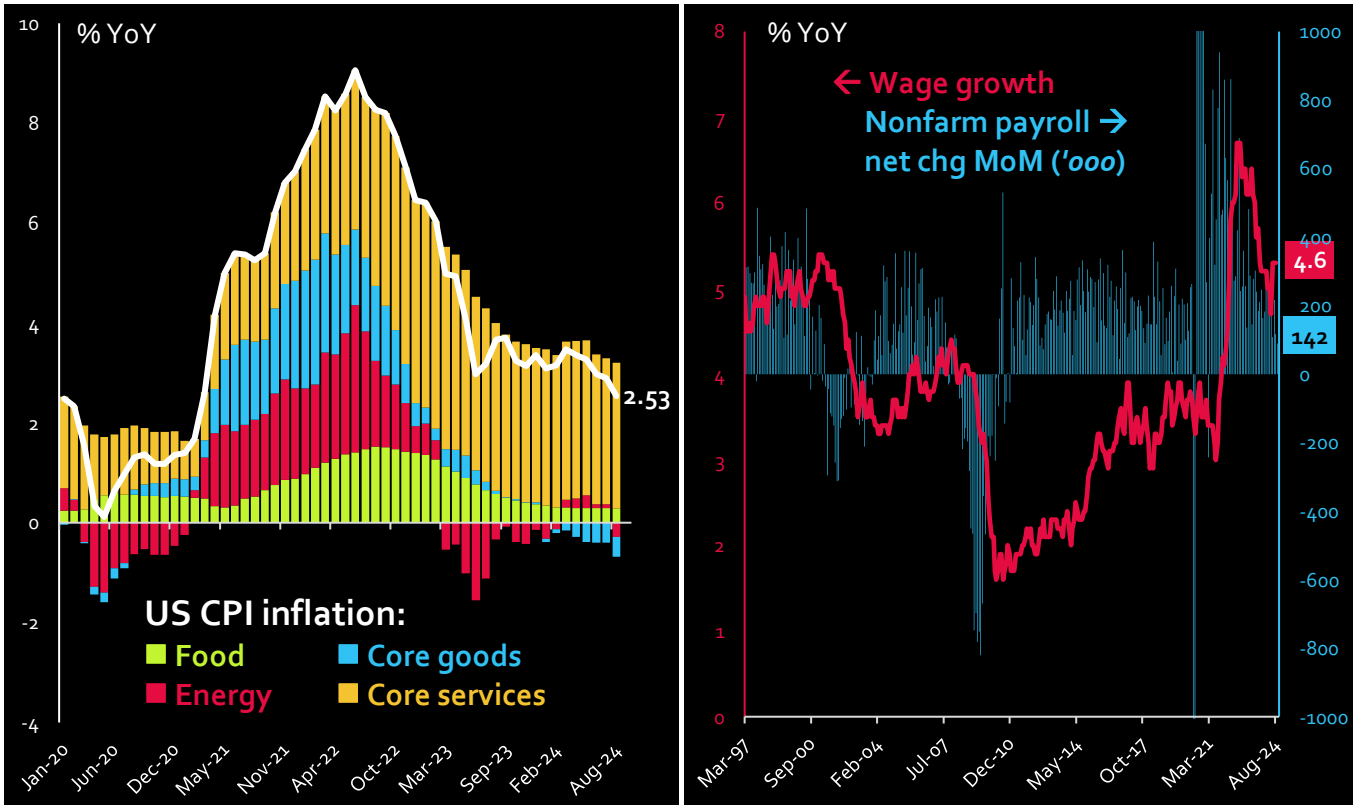
Source: BI, Bloomberg, BCA Economist

Panel 1. The FFR futures market is pointing to a 50-75 bps rate cut, but it might be better to wait for the Fed to provide another signal after the Jackson Hole conference



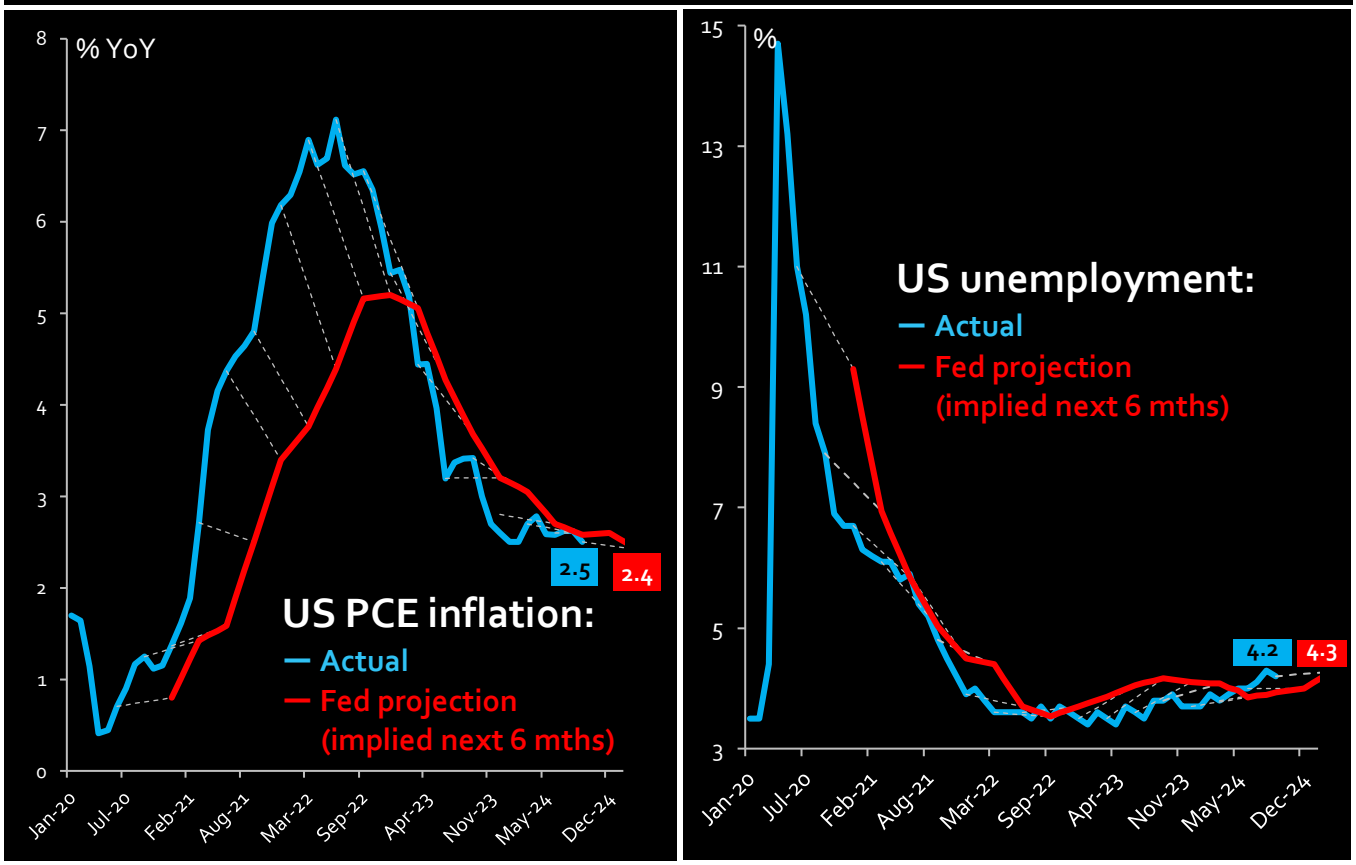
Source: Federal Reserve

Panel 2. FOMC officials are changing their views on the US labour market as it stopped driving inflation upwards



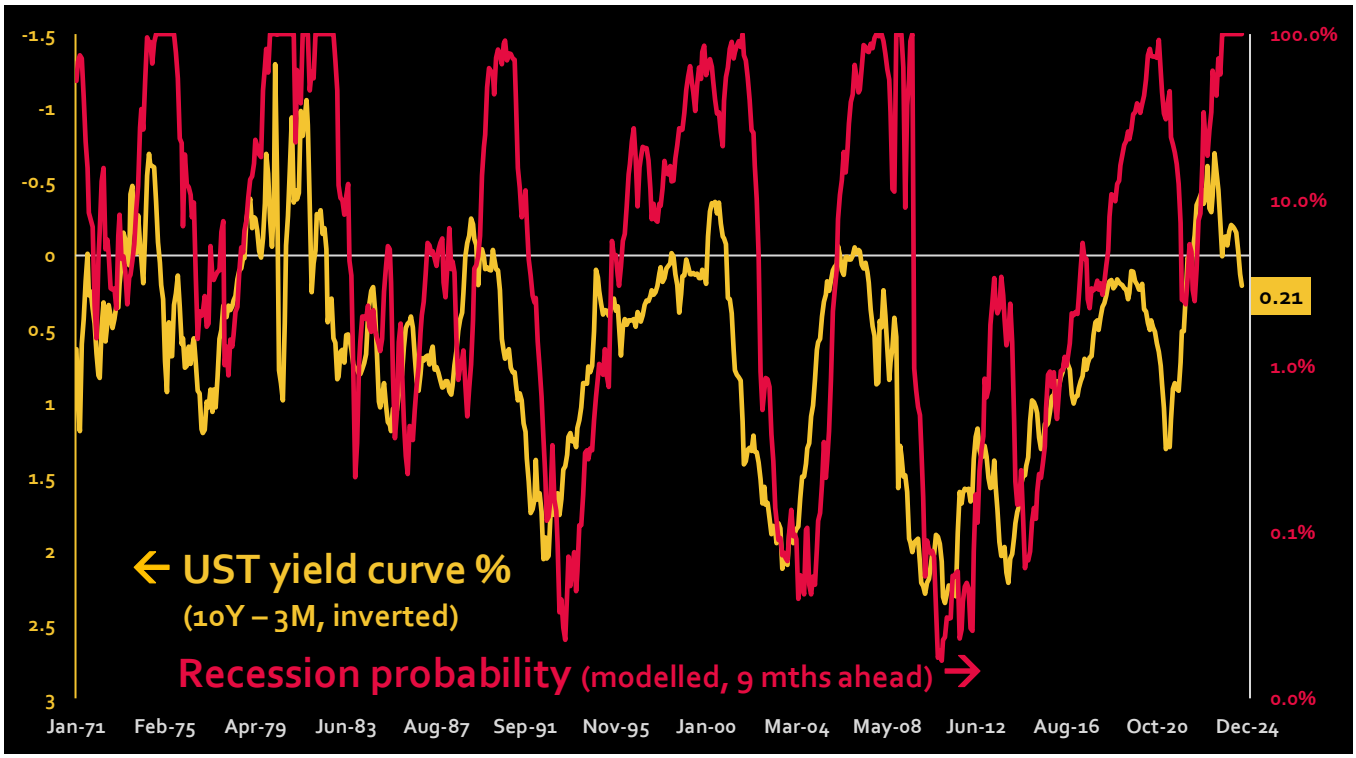
Source: US BLS, Bloomberg

Panel 3. The Fed was caught flat-footed in 2021-22, but recently its projections for inflation and unemployment have been closer to the mark



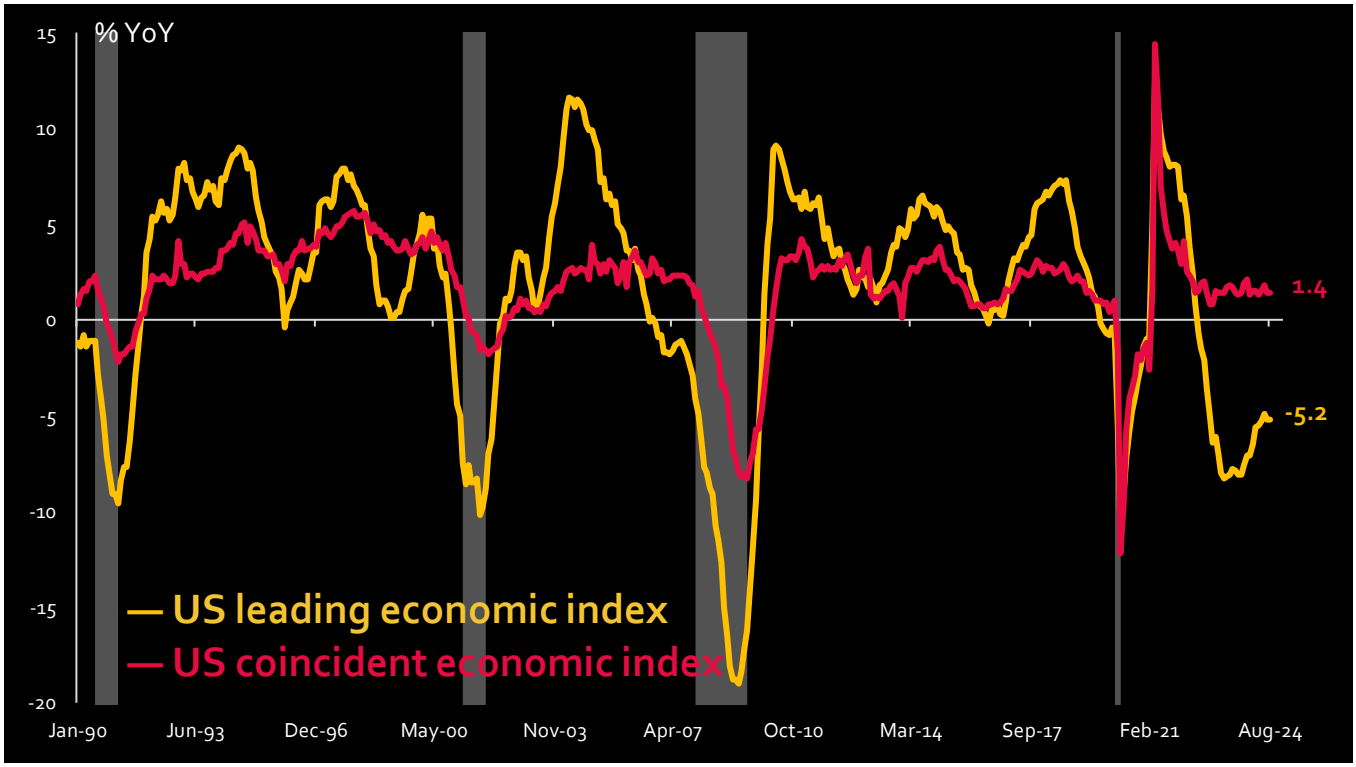
Source: Bloomberg, Federal Reserve

Chart 3. Normalising T-bills issuance and the higher demand for safe-haven assets pushed the yield on short-term US treasuries



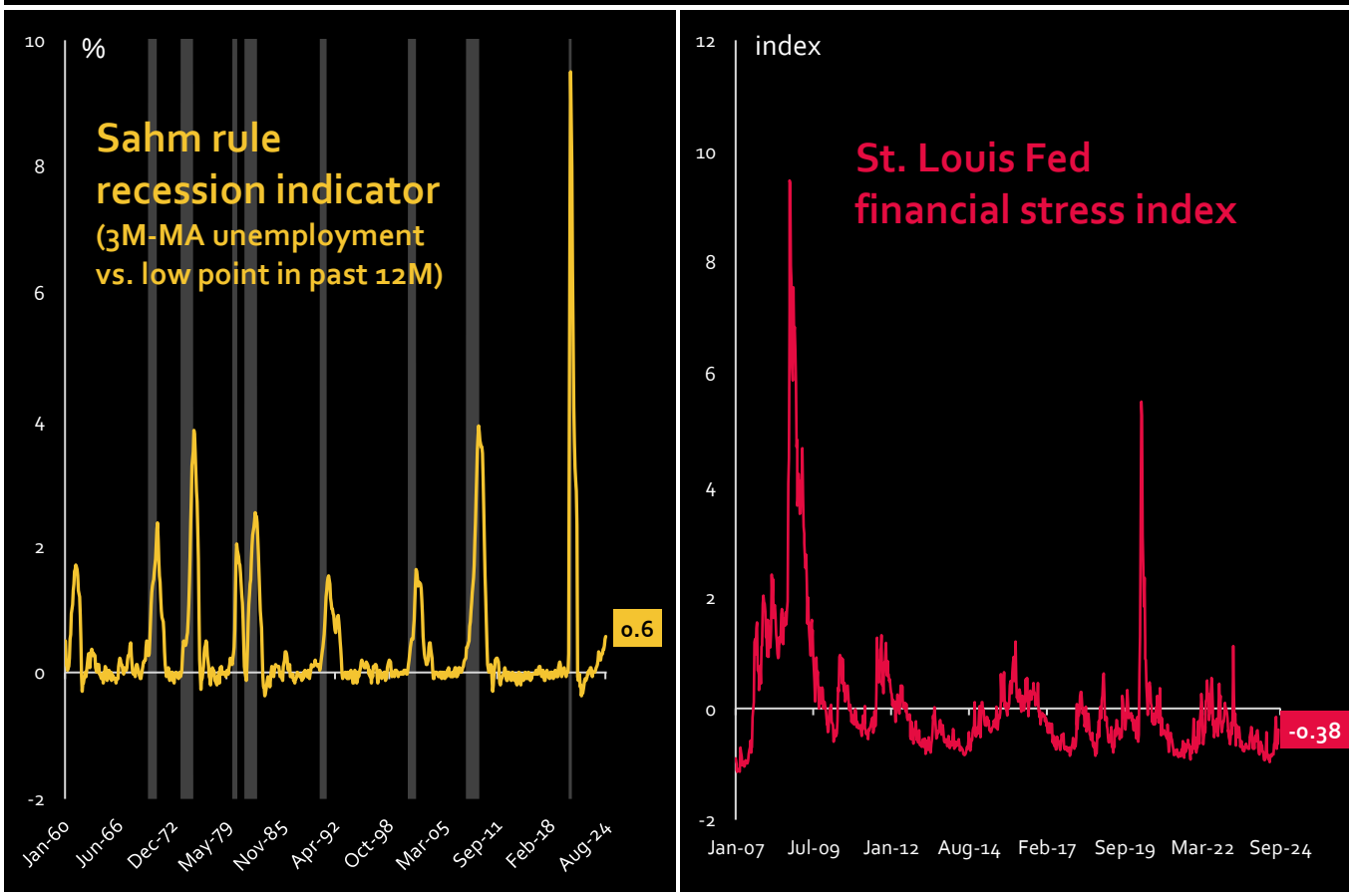
Source: Bloomberg, calculations by BCA Economist

Chart 4. Recession fears are somehow creeping in in the US despite the improving LEI index



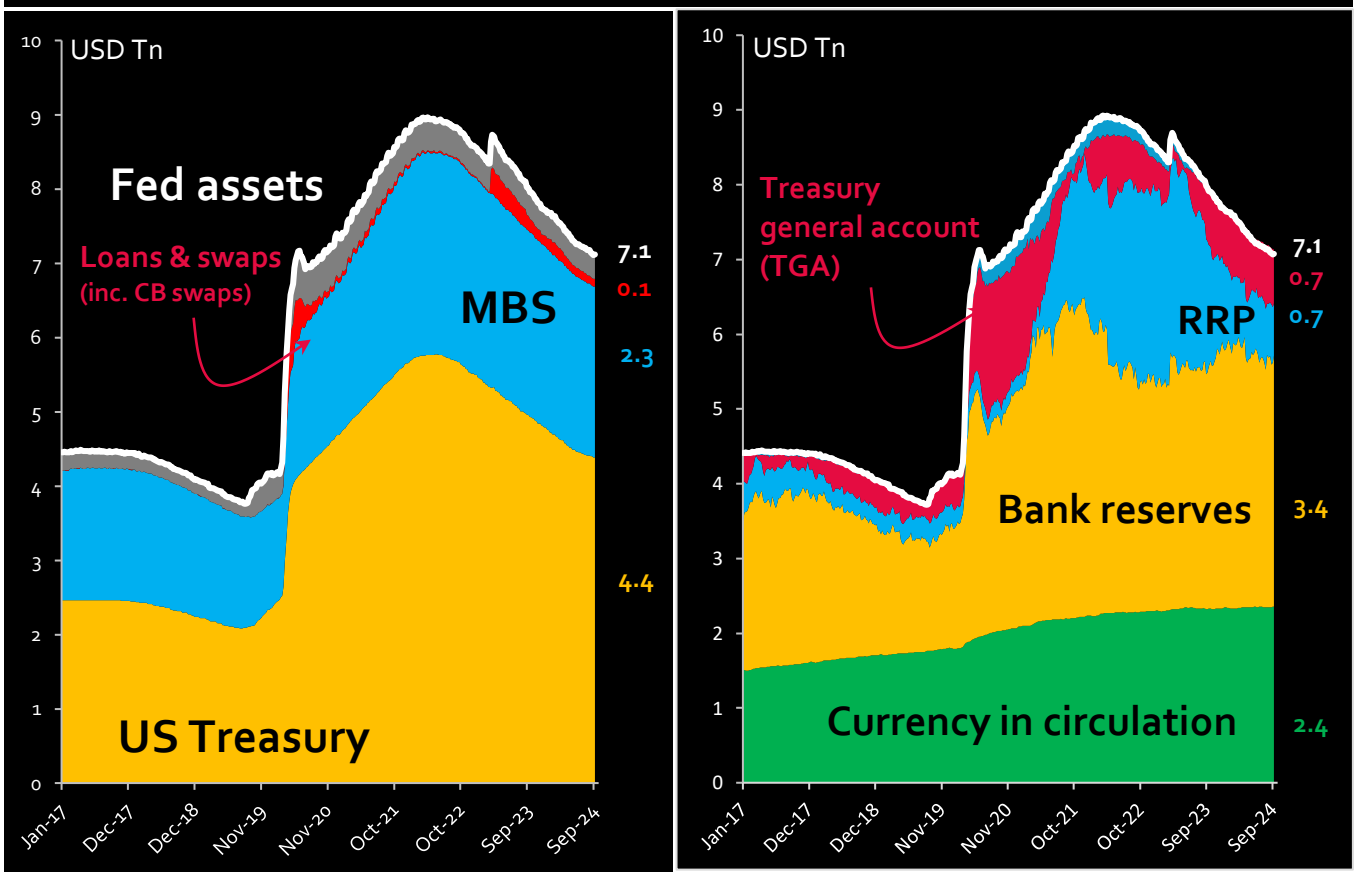
Source: Conference Board

Panel 4. Signs of impending recession are still limited, job loss momentum has not accelerated



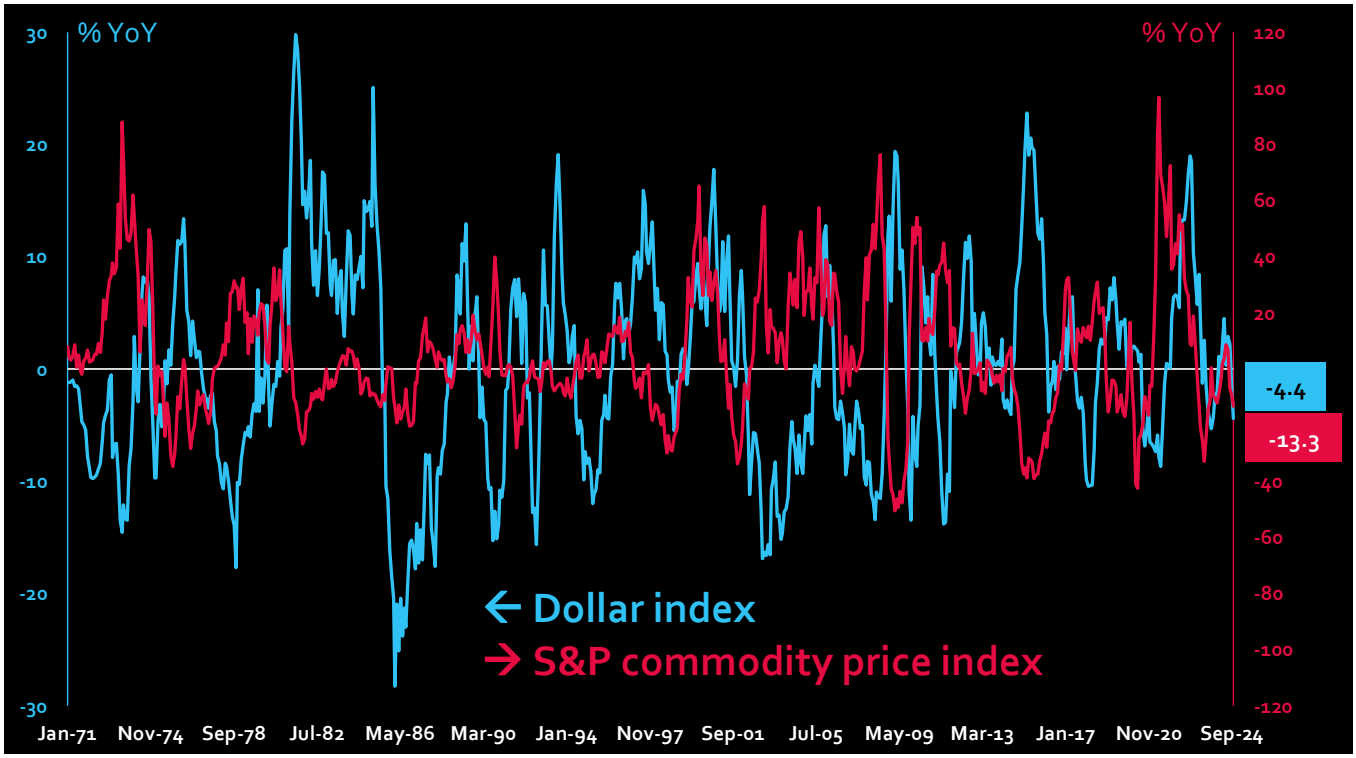
Source: St. Louis Fed

Panel 5. The Fed is slowing down its quantitative tightening (QT) with the still-enlarged balance sheet, but sufficient liquidity buffers are all around



Source: St. Louis Fed

Chart 5. The USD is moving out of its peak, but the global commodity market remains soft due to slowing manufacturing activities in China



Source: Bloomberg

Selected Macroeconomic Indicators

Key Policy Rates	Rate (%)	Last Change	Real Rate (%)
US	5.00	Jul-23	2.50
UK	5.00	Aug-23	2.80
EU	3.65	Jul-23	1.45
Japan	-0.10	Jan-16	-2.90
China (lending)	2.30	Aug-23	3.75
Korea	3.50	Jan-23	1.50
India	6.50	Feb-23	2.85
Indonesia	6.00	Sep-24	3.88
Money Mkt Rates	**18-Sep**	**-1 mth**	**Chg (bps)**
SPN (3M)	6.41	6.45	-3.8
SUN (10Y)	6.54	6.71	-16.5
INDONIA (O/N, Rp)	6.25	6.15	10.0
JIBOR 1M (Rp)	6.90	6.90	0.3
Bank Rates (Rp)	**Jun**	**May**	**Chg (bps)**
Lending (WC)	8.82	8.86	-3.79
Deposit 1M	4.70	4.68	2.60
Savings	0.67	0.67	0.02
Currency/USD	**18-Sep**	**-1 mth**	**Chg (%)**
UK Pound	0.757	0.773	2.09
Euro	0.899	0.907	0.83
Japanese Yen	142.3	147.6	3.75
Chinese RMB	7.077	7.159	1.16
Indonesia Rupiah	15,340	15,690	2.28
Capital Mkt	**18-Sep**	**-1 mth**	**Chg (%)**
JCI	7,829.1	7,432.1	5.34
DJIA	41,503.1	40,659.8	2.07
FTSE	8,253.7	8,311.4	-0.69
Nikkei 225	36,380.2	38,062.7	-4.42
Hang Seng	17,660.0	17,430.2	1.32
Foreign portfolio ownership (Rp Tn)	**Aug**	**Jul**	**Chg (Rp Tn)**
Stock	3,322.0	3,322.0	0.00
Govt. Bond	852.3	813.1	39.24
Corp. Bond	7.0	7.6	-0.62

Trade & Commodities	18-Sep	-1 mth	Chg (%)
Baltic Dry Index	1,890.0	1,691.0	11.8
S&P GSCI Index	528.6	540.1	-2.1
Oil (Brent, $/brl)	73.7	79.7	-7.6
Coal ($/MT)	137.9	155.9	-11.6
Gas ($/MMBtu)	2.34	2.07	13.3
Gold ($/oz.)	2,558.9	2,508.0	2.0
Copper ($/MT)	9,266.1	9,006.3	2.9
Nickel ($/MT)	15,980.7	16,130.2	-0.9
CPO ($/MT)	929.7	877.5	5.9
Rubber ($/kg)	1.97	1.76	11.9
External Sector	**Aug**	**Jul**	**Chg (%)**
Export ($ bn)	23.56	22.24	5.97
Import ($ bn)	20.67	21.74	-4.93
Trade bal. ($ bn)	2.90	0.50	478.90
Central bank reserves ($ bn)*	150.2	145.4	3.32
Prompt Indicators	**Aug**	**Jul**	**Jun**
Consumer confidence index (CCI)	124.4	123.4	123.3
Car sales (%YoY)	-14.2	-7.8	-9.7
Motorcycle sales (%YoY)	7.4	24.1	3.5
Manufacturing PMI	**Aug**	**Jul**	**Chg (bps)**
USA	47.9	49.6	-170
Eurozone	45.8	45.8	0
Japan	49.8	49.1	70
China	50.4	49.8	60
Korea	51.9	51.4	50
Indonesia	48.9	49.3	-40

Source: Bloomberg, BI, BPS
Notes:
*Data from earlier period
For changes in currency: **Black indicates appreciation against USD, **Red** otherwise
***For PMI, **>50** indicates economic expansion, **<50** otherwise

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Indonesia – Economic Indicators Projection

	2019	2020	2021	2022	2023	2024E
Gross Domestic Product (% YoY)	5.0	-2.1	3.7	5.3	5.0	5.0
GDP per Capita (US$)	4175	3912	4350	4784	4920	5149
Consumer Price Index Inflation (% YoY)	2.7	1.7	1.9	5.5	2.6	2.6
BI 7-day Repo Rate (%)	5.00	3.75	3.50	5.50	6.00	5.50
USD/IDR Exchange Rate (end of the year)*	13,866	14,050	14,262	15,568	15,397	15,650
Trade Balance (US$ billion)	-3.2	21.7	35.3	54.5	37.0	32.6
Current Account Balance (% GDP)	-2.7	-0.4	0.3	1.0	-0.1	-0.5

*Actual number

** Estimation of Rupiah's fundamental exchange rate

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